

Team Number: _____

Time: _____

Rank: _____



SMALL BUSINESS MANAGEMENT TEAM (510)

FINAL STATE – 2020

TOTAL POINTS _____ (170)

**Judges: Please double check and verify all
scores and answer keys!**

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Modification at State Final Competition:

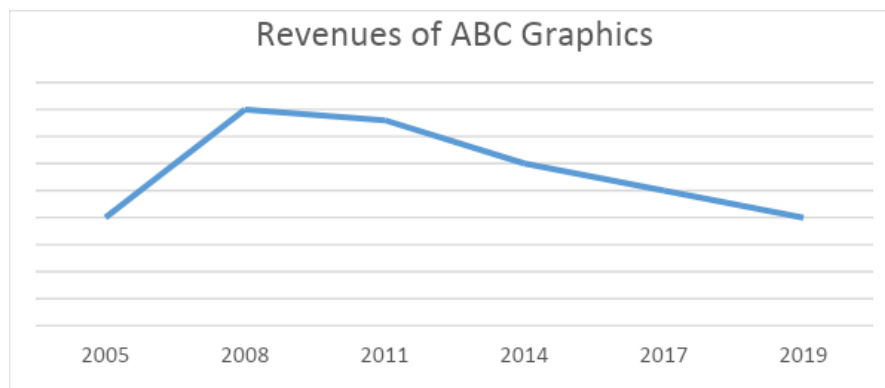
In 2010, Mr. Jackson bought ABC Graphics its own printing equipment to help drive down costs in the long run. While the up-front cost was \$50,000, the printer decreased the per job cost by 70% because Mr. Jackson did not have to outsource the printing work. Since his equipment is now older, it breaks down often. It is only functional about 60% of the time. The down time often costs more because it will break down in the middle of a job, Mr. Jackson will have to order the print from somewhere else, and it delays the finished product getting to the customer. Mr. Jackson is hesitant to purchase new equipment since his revenues have decreased so much. Would you recommend that Mr. Jackson purchase the new equipment, continue using outsourcing to complete jobs when the printer breaks down, or that he outsource all printing jobs? How does your recommendation affect the customer experience and future revenue?

Modification at State Preliminary Competition:

Due to his early success, Mr. Jackson has always been able to rely on word-of-mouth advertising, or allowing his products to speak for themselves. Because he started that way, he has not attempted any other type of advertising or marketing. What type of marketing should be considered in order to promote the work of ABC Graphics? How could Mr. Jackson increase his customer base?

Initial Case Study

Fred Jackson, owner of ABC Graphics, has noticed that his company has lost a significant amount of revenue over the past few years. Mr. Jackson opened his business in 2005 after graduating from a graphic design program. He is very knowledgeable in the tools used in the graphic design industry. At first, his company thrived and Mr. Jackson was the recipient of many local awards for his successful business. His success continued through 2008 where revenues plateaued and then starting in 2011 began to steadily decrease. This is depicted on the graph below.



Mr. Jackson was concerned that the market had potentially become saturated and that all graphic design businesses were suffering. However, after doing some market research, there are newer companies opening, charging similar prices and are continuing to be successful. The research also showed that most organizations are still paying other companies to complete their graphic design work rather than completing it through their own employees.

ABC Graphics has on staff a salesman and an administrative assistant. Mr. Jackson completes all the graphic work himself. The salesman's job is to find opportunities for Mr. Jackson to complete work for companies. The salesman then takes Mr. Jackson's designs to the companies for their

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ANSWER KEY

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final approval and purchase. Mr. Jackson hired the salesman in 2008 when he noticed that sales began slowing down. The salesman has provided ample opportunity for graphics to be sold, but the final products are not being bought. Most potential clients prefer the design of a competing graphics company.

Prepare a presentation for Mr. Jackson with your suggestions for his company including, but not limited to, the questions below.

1. What might be a reason that organizations are buying artwork/logos from other graphics companies and not ABC Graphics?
2. What are some potential marketplace influences that could be affecting ABC Graphics' revenue stream?
3. What is the business lacking to meet the needs of an ever-changing market?
4. What changes should the owner make to foster/develop future success?

Teams who do *not* submit an entry that follows this topic will be *disqualified*.